

CAMS Domain B

Global AFC Frameworks, Governance & Regulations

Advanced Explanations for Hard Topics & Exam Traps

FATF Mutual Evaluations û Immediate Outcomes û Wolfsberg û Basel Committee

EU Directives (3rd-6th) û AMLA û DORA û UK AML Framework

Three Lines of Defense û AFC Governance û Board Oversight û Risk Assessments

FATF Mutual Evaluations Complete Breakdown

What are Mutual Evaluations?

Peer reviews of member countries' AML/CFT frameworks:

- ▶ Conducted by FATF and FATF-style regional bodies (FSRBs)
- ▶ Assess **both** technical compliance and effectiveness
- ▶ Lead to **public reports** identifying strengths and weaknesses
- ▶ Countries must **remediate** deficiencies

Technical Compliance vs Effectiveness CRITICAL

Factor	Technical Compliance	Effectiveness
Focus	Does the law exist?	Is the law working?
Assessment	Rec 1-40	11 Immediate Outcomes
Rating	Compliant/LC/PC/NC	High/Substantial/Moderate/Low
Example	AML law passed	STRs used in convictions

Effectiveness Assessment What FATF Looks For

- ▶ IO.3: Supervisors use risk-based supervision and apply sanctions
- ▶ IO.4: FIIs apply preventive measures consistent with ML/TF risks
- ▶ IO.6: STRs are used for ML/TF investigations
- ▶ IO.7: ML/TF investigations and prosecutions are effective
- ▶ IO.8: Confiscation of proceeds of crime is effective

REMEMBER: Key Rule: Technical compliance Effectiveness. A country can have perfect laws but still be ineffective.

FATF 11 Immediate Outcomes Complete Guide

Immediate Outcomes Effectiveness Assessment

IO	Title	What It Assesses
IO.1	ML/TF Risks Understood	Country understands its ML/TF risks (NRA)
IO.2	International Cooperation	Effective international info sharing
IO.3	Supervision	Risk-based supervision; sanctions applied
IO.4	Preventive Measures	FIs/DNFBPs apply AML/CFT measures
IO.5	Legal Persons Not Misused	BO transparency; legal entities not used for ML
IO.6	Financial Intelligence	STRs used for investigations
IO.7	ML/TF Investigations	Effective investigations and prosecutions
IO.8	Confiscation	Proceeds of crime are confiscated
IO.9	TF Investigations	TF investigations and prosecutions
IO.10	TF Preventive Measures	TF preventive measures are effective
IO.11	PF Preventive Measures	Proliferation financing measures

Supervisor Priorities CAMS Exam Favorite

Supervisors prioritize:

- ▶ **IO.3:** Financial supervision is risk-based and effective
- ▶ **IO.4:** FIs and DNFBPs apply preventive measures

REMEMBER: Key Rule: IO.3 and IO.4 are **prioritized** by supervisors evaluating bank compliance.

Wolfsberg Group Private Sector Standards

What is the Wolfsberg Group?

Association of 13 global banks that develop standards for:

- ▶ AML/CFT
- ▶ KYC
- ▶ Correspondent banking
- ▶ Trade finance
- ▶ Private banking
- ▶ Risk assessment

Key Wolfsberg Documents CAMS Exam

- ▶ **Wolfsberg AML Principles:** General AML framework for banks
- ▶ **Wolfsberg Correspondent Banking Due Diligence:** EDD for correspondent banking
- ▶ **Wolfsberg Private Banking Principles:** EDD for private banking clients
- ▶ **Wolfsberg Trade Finance Principles:** TBML risks and controls
- ▶ **Wolfsberg FAQs on AML Risk Assessment:** Risk assessment guidance

Correspondent Banking Requirements

- ▶ **EDD:** Enhanced due diligence on correspondent banks
- ▶ **Senior Approval:** Senior management approval required
- ▶ **Ongoing Monitoring:** Continuous monitoring of relationships
- ▶ **Information Sharing:** Share information on AML controls
- ▶ **Shell Banks:** **Absolutely prohibited** no shell bank relationships

REMEMBER: Key Rule: Wolfsberg standards are **not law** but are **industry best practices** that regulators expect.

What is the Basel Committee?

Basel Committee on Banking Supervision sets global banking standards:

- ▶ BCBS 239: Risk Data Aggregation
- ▶ AML/CFT guidance for banks
- ▶ Consolidated supervision framework
- ▶ Sound management of operational risk

Three Lines of Defense CRITICAL MODEL

Line	Role	Example
1st Line	Operational management	Business units identify, assess, control risks
2nd Line	Oversight	AML compliance, risk management, controls
3rd Line	Independent assurance	Internal audit

Key Principles

- ▶ **Accountability:** First line owns and manages risk
- ▶ **Independence:** Second line must be independent from business
- ▶ **Objectivity:** Third line must be independent and objective
- ▶ **Separation of Duties:** Key roles must be separated
- ▶ **Board Oversight:** Board has ultimate responsibility

REMEMBER: Key Rule: Three Lines of Defense = **operational management** (Line 1), **compliance oversight** (Line 2), **internal audit** (Line 3).

EU AML Directives 3rd to 6th (Complete)

3rd AML Directive (2005)

- ▶ Incorporated FATF 40 Recommendations
- ▶ Introduced **beneficial ownership** requirements Required **risk-based approach**
- ▶ Expanded predicate offenses Required group-wide AML programs

4th AML Directive (2015)

- ▶ Required **central registers** of beneficial owners Enhanced customer due diligence requirements Expanded PEP definition (domestic PEPs included)
- ▶ Required risk assessments at national level Strengthened transaction monitoring requirements

5th AML Directive (2018)

- ▶ Extended to **virtual currencies** and **prepaid cards** Enhanced transparency of BO registers (public access)
- ▶ Expanded DNFBP coverage Strengthened customer due diligence Improved cooperation between FIUs

6th AML Directive (2020)

- ▶ **Harmonized predicate offenses** across member states
- ▶ **Harmonized criminal penalties**
- ▶ Extended liability to **legal persons**
- ▶ Strengthened cross-border cooperation
- ▶ Enhanced whistleblower protection

REMEMBER: Key Rule: 3rd = BO; 4th = Central registers; 5th = Crypto/prepaid; 6th = Harmonized offenses & penalties.

Early EU Directives (1st & 2nd) Shortcomings

1st AML Directive (1991)

- ▶ Focused **only on drug trafficking**
- ▶ Lacked uniformity in implementation
- ▶ No requirement for suspicious transaction reporting
- ▶ No beneficial ownership requirements
- ▶ Limited scope (only credit institutions)

2nd AML Directive (2001)

- ▶ Expanded predicate offenses (but still limited)
- ▶ Still suffered from **divergent national interpretations**
- ▶ No risk-based approach
- ▶ No group-wide AML programs
- ▶ Weak transposition by member states

Major Shortcoming CAMS Exam Favorite

Failure to ensure timely and complete transposition by all member states.

- ▶ **Consequence: Regulatory arbitrage** criminals exploited weak AML frameworks in certain EU countries.
- ▶ **Lesson:** Directives must be **transposed** into national law and some countries delayed or did it poorly.

REMEMBER: Key Rule: Early directives failed because of **poor transposition** and **regulatory arbitrage**.

What is AMLA?

New EU authority (established 2024) centralizes AML/CFT supervision:

- ▶ Direct supervision of **high-risk cross-border** financial institutions
- ▶ Coordination of national AML supervisors
- ▶ Oversight of **selected** financial institutions
- ▶ Support for FIUs and law enforcement

AMLA's Role CAMS Exam Favorite

- ▶ **Direct Supervision:** AMLA directly supervises selected **cross-border financial institutions** operating in multiple member states
- ▶ **Coordination:** Coordinates national supervisors to ensure consistent supervision
- ▶ **High-Risk Focus:** Focuses on institutions with **high-risk profiles**
- ▶ **Non-Compliance:** Can impose sanctions for non-compliance

When AMLA Assumes Oversight CAMS Exam

Scenario: EU-based fintech with operations in 5 member states flagged for non-compliance by multiple regulators.

Correct: **AMLA** assumes oversight due to cross-border nature and risk profile.

REMEMBER: Key Rule: AMLA = **centralized supervision** for cross-border, high-risk EU financial institutions.

DORA Digital Operational Resilience Act (Detailed)

Scope Who Must Comply?

- ▶ Banks and credit institutions
- ▶ Investment firms
- ▶ Crypto-asset service providers
- ▶ Payment institutions and e-money institutions
- ▶ Insurance and reinsurance companies
- ▶ Third-party ICT providers (critical ones)

Key Regulatory Expectation CAMS Exam Favorite

Centralizing oversight of ICT risk management across all member-state branches.

DORA Requirements Complete List

1. **ICT Risk Governance Framework:** Unified across all EU operations
2. **ICT Risk Assessments:** Identify and assess ICT risks
3. **Incident Reporting:** Report ICT incidents to regulators
4. **Third-Party ICT Provider Management:** Monitor and manage vendor risks
5. **Resilience Testing:** Regular testing (including threat-led penetration testing)
6. **Information Sharing:** Share threat intelligence with peers

EXAM TRAP: Exam Trap: Relying solely on national regulators' cybersecurity requirements is **insufficient**. DORA mandates centralized, pan-European oversight.

UK AML Framework Complete Overview

Key Legislation

- ▶ **Proceeds of Crime Act 2002 (POCA):** Criminalizes money laundering
- ▶ **Terrorism Act 2000:** Criminalizes terrorist financing
- ▶ **Money Laundering Regulations 2017:** AML/CFT obligations
- ▶ **Sanctions and Anti-Money Laundering Act 2018:** Sanctions framework

Risk-Based Approach Primary Purpose CAMS Exam

To allow firms to customize controls suited to their risk exposure.

UK AML Supervisor CAMS Exam Favorite

- ▶ **FCA (Financial Conduct Authority):** Main AML supervisor for financial services
- ▶ **HMT (HM Treasury):** Policy lead for AML/CFT
- ▶ **NCA (National Crime Agency):** UK FIU
- ▶ **JMLIT (Joint Money Laundering Intelligence Taskforce):** PPP between banks and law enforcement

UK-Specific Requirements

- ▶ **MLRO (Money Laundering Reporting Officer):** Required for all regulated firms
- ▶ **Consent Regime:** Must seek NCA consent before completing suspicious transactions
- ▶ **Beneficial Ownership Register:** Companies must file PSC (People with Significant Control) info

REMEMBER: Key Rule: UK's risk-based approach = **customize controls to risk**, not eliminate controls.

Three Lines of Defense Complete Model

First Line: Operational Management

- ▶ **Who:** Business units (e.g., retail banking, corporate banking, wealth management)
- ▶ **Responsibility:**
 - ▶ Identify, assess, and control risks Implement AML/CFT policies and procedures
 - ▶ Train staff on AML/CFT requirements Escalate suspicious activity

Second Line: Compliance Oversight

- ▶ **Who:** AML compliance, risk management, MLRO **Responsibility:**
 - ▶ Oversee and challenge first line Develop AML/CFT policies and procedures
 - ▶ Conduct risk assessments Monitor and report on compliance
 - ▶ File SARs/STRs

Third Line: Internal Audit

- ▶ **Who:** Internal audit function **Responsibility:**
 - ▶ Provide independent assurance
 - ▶ Assess effectiveness of AML controls
 - ▶ Report findings to board/audit committee Follow up on remediation

REMEMBER: Key Rule: Lines must be **independent** but **collaborative**. First line owns risk; second line oversees; third line assures.

AFC Governance Board Oversight (Complete)

Board Responsibilities for AFC

- ▶ **Ultimate Accountability:** Board is ultimately accountable for AML/CFT program
- ▶ **Approve Policies:** Approve AML/CFT policies and procedures
- ▶ **Approve MLRO:** Approve appointment of MLRO
- ▶ **Oversee Culture:** Ensure compliance culture is embedded
- ▶ **Challenge Management:** Challenge management on AFC performance

Board Oversight Mechanisms CAMS Exam

Which demonstrate effective board oversight? (Select Three.)

1. Receiving regular reports on financial crime risks and control effectiveness
2. Reviewing whether senior management is addressing audit findings
3. Challenging management when AFC performance metrics show weakness

AFC Reports to Governance CAMS Exam Favorite

Appropriate contents for AFC reports to governance:

1. Updates on regulatory interactions and supervisory reviews
2. Assessment outcomes of control effectiveness on monitoring tools
3. Investigation statuses of escalated SAR reviews

EXAM TRAP: Exam Trap: Participating in SAR investigations boards provide **oversight**, not operational involvement.

EWRA Enterprise-Wide Risk Assessment

What is EWRA?

A comprehensive, documented risk assessment that identifies, assesses, and mitigates ML/TF risks across the **entire organization**:

- ▶ All business units
- ▶ All product lines
- ▶ All customer segments
- ▶ All jurisdictions
- ▶ All distribution channels

EWRA Components CAMS Exam Favorite

- ▶ **Inherent Risk Assessment:** Identify risks without controls
- ▶ **Control Effectiveness Assessment:** Assess how well controls mitigate risks
- ▶ **Residual Risk Assessment:** Remaining risk after controls
- ▶ **Risk Appetite Statement:** How much risk is acceptable?
- ▶ **Action Plan:** How to address residual risk?

When to Update EWRA CAMS Exam

EWRA must be updated when:

- ▶ **New products/services** are launched
- ▶ **New customer segments** are targeted
- ▶ **New jurisdictions** are entered
- ▶ **Significant business changes** occur
- ▶ **Regulatory changes** occur
- ▶ **New risk information** becomes available

REMEMBER: Key Rule: EWRA must be **dynamic** updated when new channels, products, or customers emerge.

Risk-Based Approach FATF Recommendation 1

What is the Risk-Based Approach?

Foundational principle of FATF framework:

- ▶ Countries and FIs must **identify, assess, and understand** ML/TF risks
- ▶ Apply **proportionate** measures to mitigate risks
- ▶ Allocate resources to **highest risk areas**
- ▶ **Not prescriptive** flexible to specific risk profiles

Risk-Based Approach in Action CAMS Exam

- ▶ **High Risk:** Enhanced due diligence (EDD), transaction monitoring, senior approval
- ▶ **Medium Risk:** Standard due diligence (CDD), regular monitoring
- ▶ **Low Risk:** Simplified due diligence (SDD), less frequent monitoring

What the Risk-Based Approach is NOT

- ▶ **Not** zero due diligence some CDD always required
- ▶ **Not** de-risking cannot simply decline entire categories
- ▶ **Not** one-size-fits-all must be tailored to risk profile
- ▶ **Not** static must be updated as risks change

REMEMBER: Key Rule: The risk-based approach is about **proportionate controls**, not **no controls**.

DNFBPs FATF Recommendation 22 (Complete)

What are DNFBPs?

Designated Non-Financial Businesses and Professions subject to AML/CFT obligations:

- ▶ Casinos (and online gambling)
- ▶ Real estate agents
- ▶ Lawyers, notaries, and other independent legal professionals
- ▶ Accountants and auditors
- ▶ Trust and company service providers (TCSPs)
- ▶ Dealers in precious metals and stones

DNFBP AML Obligations

- ▶ **CDD:** Identify and verify customers
- ▶ **BO Identification:** Identify beneficial owners
- ▶ **Record-Keeping:** Maintain records for 5+ years
- ▶ **STR Filing:** Report suspicious transactions
- ▶ **Internal Controls:** Implement AML programs
- ▶ **Training:** Train staff on AML/CFT
- ▶ **Supervision:** Subject to oversight by competent authority

DNFBP Risk Management CAMS Exam Favorite

Which strategies help manage DNFBP risks? (Select Two.)

1. Creating a reputational risk or client selection committee
2. Using standardized sector-specific questionnaires

EXAM TRAP: Exam Trap: Defaulting to EDD for all DNFBPs is **not risk-based**. Apply proportionate measures.

Correspondent Banking AML Requirements (Complete)

What is Correspondent Banking?

Banking relationship where one bank provides services to another:

- ▶ Payment clearing and settlement
- ▶ Cash management
- ▶ Trade finance
- ▶ Foreign exchange

Correspondent Banking AML Requirements FATF Rec 13

1. **Gather Information:** Understand nature of respondent's business
2. **Assess Controls:** Evaluate respondent's AML/CFT controls
3. **Senior Approval:** Senior management approval required
4. **Documentation:** Document the relationship
5. **Ongoing Monitoring:** Monitor for changes in risk
6. **EDD:** Enhanced due diligence for high-risk respondents

Shell Banks ABSOLUTE PROHIBITION

Shell banks are absolutely prohibited cannot establish or maintain correspondent relationships with shell banks.

- ▶ **Shell Bank:** Bank with no physical presence in any jurisdiction
- ▶ **Consequence:** Must **terminate** relationship if discovered
- ▶ **Wolfsberg:** Strongly reinforces prohibition

REMEMBER: Key Rule: Shell banks are **absolutely prohibited** no exceptions.

What is IASB?

International Accounting Standards Board sets global accounting standards:

- ▶ IFRS (International Financial Reporting Standards)
- ▶ IAS (International Accounting Standards)
- ▶ Applicable in 140+ countries

Relevance to AML CAMS Exam

- ▶ **Financial Reporting:** Accurate financial statements required
- ▶ **Asset Valuation:** Valuation of assets for AML/CFT purposes
- ▶ **Disclosure:** Disclosure of off-balance sheet structures
- ▶ **Consolidation:** Group-wide financial reporting
- ▶ **Audit:** External audit of financial statements

Key IFRS Standards for AFC

- ▶ **IFRS 10:** Consolidated financial statements
- ▶ **IFRS 7:** Financial instruments disclosures
- ▶ **IFRS 9:** Financial instruments (impairment for losses)
- ▶ **IAS 24:** Related party disclosures

REMEMBER: Key Rule: IASB standards ensure **transparency in financial reporting**, which supports AML efforts.

What is IOSCO?

Global standard-setter for securities markets:

- ▶ 130+ member countries
- ▶ Sets international securities standards
- ▶ Promotes investor protection
- ▶ Facilitates cross-border cooperation

IOSCO Core Objectives CAMS Exam Favorite

Which support anti-financial crime efforts? (Select Two.)

1. **Enhancing investor protection through cooperation and enforcement**
2. **Promoting financial stability by managing systemic risks and facilitating international information exchange**

Relevance to AML Complete

- ▶ **Market Abuse:** Combating insider trading and market manipulation
- ▶ **Fraud:** Preventing securities fraud
- ▶ **Information Sharing:** Cross-border enforcement cooperation
- ▶ **Disclosure:** Ensuring accurate disclosure of information
- ▶ **Investor Protection:** Protecting investors from financial crime

REMEMBER: Key Rule: IOSCO objectives = **investor protection** and **financial stability** both support AFC.

What is the G-20 ACWG?

Working Group under G-20 that:

- ▶ Coordinates international anti-corruption efforts
- ▶ Develops anti-corruption action plans
- ▶ Monitors implementation of commitments
- ▶ Promotes international cooperation

Key Focus Areas CAMS Exam

- ▶ **Beneficial Ownership Transparency:** Improving BO disclosure
- ▶ **Asset Recovery:** Tracing and recovering stolen assets
- ▶ **Public Procurement:** Reducing corruption in procurement
- ▶ **International Cooperation:** Strengthening MLA and extradition
- ▶ **Whistleblower Protection:** Protecting those who report corruption

ACWG Contribution CAMS Exam Favorite

Correct Answer: Coordinating with member states to establish and implement **multi-year anti-corruption action plans**.

REMEMBER: Key Rule: G-20 ACWG = **coordination** and **action plans** for anti-corruption.

IMF AML/CFT Expectations Complete

IMF Role in AML/CFT

International Monetary Fund:

- ▶ Assesses AML/CFT frameworks in member countries
- ▶ Provides technical assistance and capacity building
- ▶ Incorporates AML/CFT into FSAP (Financial Sector Assessment Programs)
- ▶ Links AML/CFT to financial stability

IMF Expectations CAMS Exam Favorite

Correct Answer: Reform AML/CFT frameworks and align them with **international expectations**.

Important Concept CAMS Exam

Improvements in economic measures can mask financial crime vulnerabilities.

- ▶ Strong GDP growth **does not** mean strong AML controls
- ▶ Countries can have **economic success** but **weak AML frameworks**
- ▶ IMF assessment looks **beyond** economic indicators

REMEMBER: Key Rule: Economic success AML effectiveness. IMF evaluates **financial crime vulnerabilities** separately.

What is the Basel AML Index?

Composite index ranking countries based on AML/CFT risk:

- ▶ Published by Basel Institute on Governance
- ▶ Compiles vulnerability indicators across **legal, political, and financial** dimensions
- ▶ Used by FIs for **country risk assessment**
- ▶ Updated annually

Index Components CAMS Exam Favorite

- ▶ **Quality of AML/CFT Framework:** Laws, regulations, enforcement
- ▶ **Corruption:** Level of corruption in the country
- ▶ **Financial Transparency:** BO disclosure, financial secrecy
- ▶ **Regulatory Capacity:** Effectiveness of supervision
- ▶ **Political Risk:** Stability, rule of law
- ▶ **Financial Crime:** Prevalence of financial crime

Why Use the Basel AML Index? CAMS Exam

Correct Answer: It compiles vulnerability indicators across **legal, political, and financial** dimensions.

REMEMBER: Key Rule: Basel AML Index = **country risk assessment** for AML/CFT due diligence.

What is the Financial Secrecy Index?

Published by **Tax Justice Network**:

- ▶ Measures **financial secrecy** in jurisdictions
- ▶ Ranks countries on secrecy and scale of financial activity
- ▶ Used for **country risk assessment**
- ▶ Identifies **secrecy havens**

Factors Increasing FSI Rating CAMS Exam Favorite

Which contribute to elevated FSI rating? (Select Three.)

1. **Minimal reporting of beneficial ownership**
2. **Extensive cross-border services to non-residents**
3. **High ratio of secrecy score to global scale weight**

FSI Implications

- ▶ **High FSI = High ML Risk**: Jurisdictions with high secrecy scores are higher risk
- ▶ **EDD Required**: Enhanced due diligence for clients with connections to high-FSI jurisdictions
- ▶ **Wolfsberg**: Cited in Wolfsberg Correspondent Banking Principles

REMEMBER: Key Rule: High Financial Secrecy Index = **high money laundering risk**.

What is Transparency International?

Global NGO fighting corruption:

- ▶ Publishes Corruption Perceptions Index (CPI)
- ▶ Advocates for anti-corruption reforms
- ▶ Conducts research on corruption
- ▶ Works with governments and businesses

Corruption Perceptions Index (CPI) CAMS Exam

- ▶ Ranks 180+ countries by perceived corruption
- ▶ Score: 0 (highly corrupt) to 100 (very clean)
- ▶ Source: Expert surveys and business opinion
- ▶ Use in AML: Country risk assessment for AML/CFT due diligence

CPI and AML Risk

- ▶ Low CPI Score = High Corruption Risk: Countries with low CPI scores are higher risk
- ▶ Correlation with ML: Corruption is a **predicate offense** for money laundering
- ▶ EDD: Enhanced due diligence for clients with connections to low-CPI countries

REMEMBER: Key Rule: CPI = corruption risk. Low CPI = high ML risk.

Public-Private Partnerships (PPP) Complete Guide

What are PPPs in AML?

Formal arrangements between public authorities and private sector:

- ▶ FIUs and law enforcement
- ▶ Financial institutions (banks, fintechs)
- ▶ Information sharing on financial crime threats

PPP Principles CAMS Exam Favorite

Correct Answer: Collaboration allows **timely information sharing** and **joint targeting** of high-risk actors using shared intelligence.

PPP Examples

- ▶ **UK JMLIT:** Joint Money Laundering Intelligence Taskforce
- ▶ **Australia Fintel:** Financial Intelligence Taskforce
- ▶ **Singapore ACIP:** Anti-Money Laundering Information Platform
- ▶ **US FinCEN Exchange:** Public-private information sharing

PPP Best Practices CAMS Exam

Correct Approach: Establishing a formal platform where regulators and institutions engage in **direct two-way communication** on specific threats.

REMEMBER: Key Rule: PPPs = **two-way information sharing** between public and private sectors.

MLATs Mutual Legal Assistance Treaties

What are MLATs?

Bilateral/multilateral treaties between countries:

- ▶ Facilitate cross-border legal cooperation
- ▶ Enforce criminal laws
- ▶ Share evidence and information
- ▶ Return fugitives and recovered assets

MLAT Objectives CAMS Exam Favorite

Correct Answer: Facilitating **structured cooperation** between foreign authorities for investigative assistance.

MLAT Challenges CAMS Exam Favorite

Scenario: Country A has data protection rules preventing sharing of client identities. Country B bases investigations on BO disclosures.

Challenge: Evidence exchanged under the MLAT will **not be admissible** in Country B's legal system.

MLAT vs FATF Rec 36

- ▶ **FATF Rec 36:** Countries should provide the **widest possible range** of mutual legal assistance
- ▶ **Spontaneous Information Sharing:** Authorities may take **spontaneous measures** to share information

REMEMBER: Key Rule: MLATs = **formal cooperation** for cross-border investigations.

FATF Recommendation 40 International Cooperation

What is Rec 40?

International cooperation between FIUs:

- ▶ FIU-to-FIU information sharing
- ▶ **Broadest possible range** of cooperation
- ▶ Spontaneous information sharing
- ▶ Exchange of financial intelligence

Rec 40 Requirements

- ▶ **Conditions:** Sharing must be done **securely** and **confidentially**
- ▶ **Spontaneous Sharing:** FIUs may share information **without request**
- ▶ **Reciprocity:** Should be possible on a **reciprocal** basis
- ▶ **Confidentiality:** Shared information must be kept **confidential**
- ▶ **Use:** Information can be used for **ML/TF investigations**

Rec 36 vs Rec 40 CAMS Exam

Rec 36	Rec 40
Mutual Legal Assistance (MLA)	FIU-to-FIU cooperation
Between countries (formal)	Between FIUs (operational)
Criminal investigations	Financial intelligence
Evidence sharing	Intelligence sharing

REMEMBER: Key Rule: Rec 36 = MLA (formal). Rec 40 = FIU-to-FIU (operational).

FATF Recommendation 21 Tipping Off

What is Tipping Off?

Disclosing to the subject that:

- ▶ A suspicious transaction report (STR) has been filed
- ▶ They are under investigation
- ▶ Information has been shared with authorities

Why Prohibit Tipping Off?

- ▶ **Protects Investigations:** Preserves the integrity of the investigation
- ▶ **Prevents Evidence Destruction:** Subject may destroy evidence
- ▶ **Prevents Flight:** Subject may flee the jurisdiction
- ▶ **Protects Sources:** Protects the source of information
- ▶ **Prevents Witness Intimidation:** Subject may intimidate witnesses

Tipping Off Examples CAMS Exam

- ▶ **DO NOT:** Tell the customer you filed an SAR
- ▶ **DO NOT:** Tell the customer they are under investigation
- ▶ **DO NOT:** Tell the customer information was shared with regulators
- ▶ **DO NOT:** Ask questions that would reveal the investigation

Exceptions

- ▶ **Legal Obligation:** When required by law (e.g., court order)
- ▶ **Law Enforcement:** When sharing with law enforcement
- ▶ **Regulators:** When sharing with supervisors

What is Beneficial Ownership?

Natural person who ultimately owns or controls:

- ▶ A legal person (company)
- ▶ A legal arrangement (trust)

Rec 24 Legal Persons (Companies)

- ▶ Identify the **natural person** who ultimately **owns or controls** the company
- ▶ **Threshold:** Typically 25% ownership (FATF)
- ▶ **Maintain BO Register:** Must maintain and update BO information
- ▶ **Verification:** Verify BO identity using reliable sources

Rec 25 Legal Arrangements (Trusts)

- ▶ Identify: **Settlor, Trustee, Protector, Beneficiaries**
- ▶ Identify **natural persons** who ultimately **own or control**
- ▶ **Maintain BO Register:** Must maintain and update BO information
- ▶ **Verification:** Verify BO identity using reliable sources

REMEMBER: Key Rule: BO = **natural person** who ultimately owns/controls. 25% = typical threshold.

Record-Keeping Requirements Rec 11

- ▶ **Retention Period:** At least **5 years** after business relationship ends or transaction completed
- ▶ **Transaction Records:** Amount, currency, date, type of transaction, counterparty
- ▶ **Customer Records:** Copies of ID documents, account files, business correspondence
- ▶ **CDD Records:** Information obtained during CDD process
- ▶ **BO Records:** Beneficial ownership information
- ▶ **SAR/STR Records:** Suspicious transaction reports and supporting documentation

Why Record-Keeping Matters

- ▶ **Evidence:** Records are used as evidence in investigations
- ▶ **Audit Trail:** Provides audit trail for regulatory reviews
- ▶ **Reconstruction:** Allows reconstruction of transactions
- ▶ **Compliance:** Demonstrates compliance with AML/CFT obligations
- ▶ **Investigation:** Supports law enforcement investigations

REMEMBER: Key Rule: Records must be kept for at least **5 years**.

What is SAR/STR Reporting?

Suspicious Activity Report (US) / Suspicious Transaction Report (UK/EU):

- ▶ **SAR:** Suspicious Activity Report (US BSA)
- ▶ **STR:** Suspicious Transaction Report (UK/EU/Most countries)
- ▶ Filed with FIU or law enforcement
- ▶ Indicates **reasonable suspicion** of ML/TF

When to File CAMS Exam Favorite

- ▶ **Reasonable Suspicion:** When there is reasonable suspicion of ML/TF
- ▶ **Attempted Transactions:** Even if the transaction was not completed
- ▶ **Structuring:** Attempts to avoid reporting thresholds
- ▶ **Inconsistent Information:** When customer information is inconsistent
- ▶ **No Required Minimum:** No minimum amount required (unlike CTRs)

US vs UK CAMS Exam

Factor	US (SAR)	UK (STR)
Threshold	\$5,000+ (FIs)	No minimum
FIU	FinCEN	NCA
Consent Regime	Not required	Required for some
Protections	Safe harbor	Safe harbor

REMEMBER: Key Rule: SAR/STR = **reasonable suspicion** of ML/TF. No minimum amount required.

Prohibition on Tipping Off

NEVER disclose SAR/STR investigation to the subject.

- ▶ **Subject:** The person who is the subject of the SAR/STR
- ▶ **Third Parties:** Anyone who might inform the subject
- ▶ **Consequence:** Criminal penalties for tipping off

What Constitutes Tipping Off?

- ▶ **Direct Disclosure:** Telling the customer you filed an SAR
- ▶ **Indirect Disclosure:** Hinting that the customer is under investigation
- ▶ **Action:** Asking questions that would reveal the investigation
- ▶ **Behavior:** Changing treatment of the customer
- ▶ **Inaction:** Failing to follow normal procedures

REMEMBER: Key Rule: Tipping off = **criminal offense** in most jurisdictions.

Domain B Critical Exam Tips

Most Common Traps Domain B

- ▶ **Technical Compliance vs Effectiveness:** Technical compliance = law exists. Effectiveness = law works. Both assessed.
- ▶ **IO.3 vs IO.4:** IO.3 = supervision. IO.4 = institutions applying measures.
- ▶ **Rec 36 vs Rec 40:** Rec 36 = MLA (formal). Rec 40 = FIU-to-FIU (operational).
- ▶ **3rd vs 4th vs 5th vs 6th:** 3rd = BO. 4th = registers. 5th = crypto/prepaid. 6th = harmonized.
- ▶ **AMLA vs National Regulators:** AMLA = cross-border. National = domestic.
- ▶ **DORA:** Centralized oversight of ICT risk not just national cybersecurity.
- ▶ **Three Lines:** 1st = operations, 2nd = compliance, 3rd = audit.
- ▶ **UK vs US:** UK = STR, MLRO, Consent Regime. US = SAR, FinCEN.
- ▶ **Shell Banks:** Absolutely prohibited no exceptions.
- ▶ **Tipping Off:** Never disclose SAR/STR investigation.

Exam Strategy Domain B

- ▶ **Know the Frameworks:** FATF, Wolfsberg, Basel Committee, EU Directives
- ▶ **Know the Assessments:** Mutual evaluations assess technical compliance AND effectiveness
- ▶ **Know the Governance:** Three Lines of Defense, Board Oversight, EWRA
- ▶ **Know the Cooperation:** MLATs, PPPs, FIU-to-FIU, Rec 36/40
- ▶ **Think Governance:** When in doubt, it's about board oversight and risk-based supervision

REMEMBER: Final Rule: Domain B = global frameworks, governance, and cooperation. Understand the structures.

Domain B Complete

Global AFC Frameworks, Governance & Regulations

FATF Mutual Evaluations û 11 Immediate Outcomes û Wolfsberg
Basel Committee û EU Directives 3rd-6th û AMLA û DORA
UK AML Framework û Three Lines of Defense û Board Oversight
EWRA û Risk-Based Approach û DNFBPs û Correspondent Banking
MLATs û PPPs û FIU Cooperation û Rec 36/40 û Tipping Off
Beneficial Ownership û Record-Keeping û SAR/STR Reporting

All frameworks explained. All traps covered. Good luck on your CAMS exam!